plotted on the *x* axis. We can see clearly how the parity portfolio with absolute momentum has truncated stock market losses.

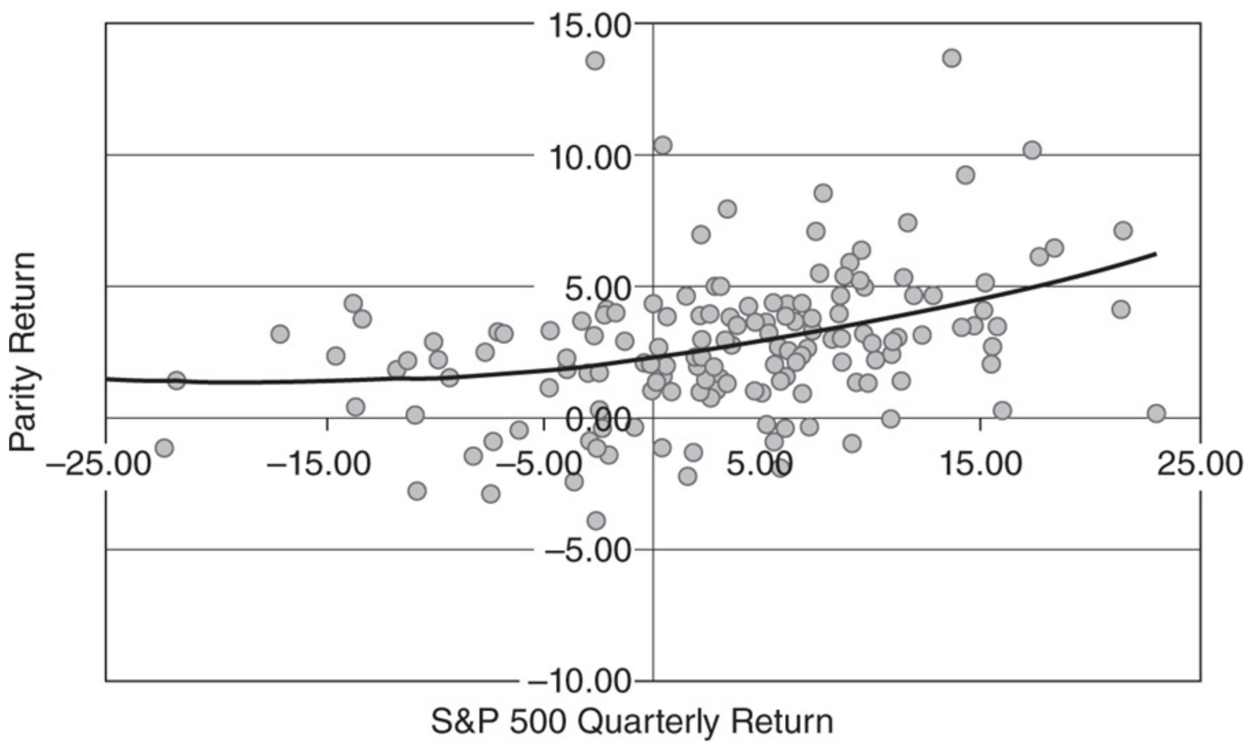

Figure B.22 Quarterly Returns: Parity Portfolio Versus S&p 500, 1974–2012

STOCHASTIC DOMINANCE

Because financial markets can have nonstationary variance and autocorrelated interdependent return distributions, it is best to analyze and compare them using robust or nonparametric methods. One such method is second-order stochastic dominance, where one set of outcomes is preferred over another if it is more predictable (less risky) and has at least as high a mean return (Hader and Russell 1969). Figure B.23 is a plot of the cumulative distribution function of the monthly returns of the parity portfolios, with and without absolute momentum.